

Member ID: _____

Time: _____

Rank: _____



COLLEGE ACCOUNTING

(105)

NATIONAL 2023

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (30 points)

APPLICATION KNOWLEDGE:

Short Answer _____ (96 points)

Problem 1: Bonds _____ (44 points)

Problem 2: Equity Transaction _____ (56 points)

Problem 3: Stockholders' Equity _____ (54 points)

Problem 4: Statement of Cash Flows _____ (30 points)

TOTAL POINTS _____ ***(310 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
2. Electronic devices will be monitored according to ACT standards.

The test is divided into two parts, and you **MUST** complete both parts. You will have 90 minutes to complete your work.

PART ONE Instructions: Objective Questions

1. Open Google Chrome and navigate to compete.bpa.org.
2. Click on the Post-Secondary Division Competitions button.
3. Enter your BPA Member ID (8-digits) and Password to access your test questions.
4. Answer all questions and submit your test.
5. Move on to Part Two.

PART TWO: Short Answer Problems

Complete the questions in the rest of this test booklet by filling in the PDF.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

The test is divided into two parts: concept knowledge and application knowledge.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice Questions

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1. Which of the following events does not create a liability?
 - A. Buying goods and services on credit
 - B. Obtaining a short-term loan
 - C. Issuing long-term debt
 - D. Remitting sales tax to the government
2. If a company forgets to record the journal entry to accrue interest expense, then its net income is too _____ and its liabilities are too _____.
 - A. High; high
 - B. Low; high
 - C. Low; low
 - D. High; low
3. On November 1, 2022, Peralta Co. borrowed \$200,000 cash on a 1-year note payable with a 6% annual rate that requires Peralta to pay all the interest as well as the principal on October 31, 2023. Assuming the November 1 transaction was properly recorded, how would the December 31, 2022, year-end adjusting entry affect the accounting equation?
 - A. Liabilities decrease and stockholders' equity increases
 - B. Both assets and stockholders' equity increase
 - C. Liabilities increase and stockholders' equity decreases
 - D. Liabilities increase and stockholders' equity increases
4. At the beginning of the year, Jeffords Co. borrows \$20,000 by signing a four-year promissory note that states an annual interest rate of 8% plus principal repayments of \$5,000 each year. Interest is paid at the end of the second and fourth quarters, whereas principal payments are due at the end of each year. How does this new promissory note affect the current and non-current liability amounts reported on the classified balance sheet prepared at the end of the first quarter?
 - A. Increase current liabilities by \$400; increase non-current liabilities by \$20,000
 - B. Increase current liabilities by \$1,600; increase non-current liabilities by \$20,000
 - C. Increase current liabilities by \$5,400; increase non-current liabilities by \$20,000
 - D. Increase current liabilities by \$5,400; increase non-current liabilities by \$15,000
5. Accrued liabilities could include all of the following except:
 - A. Wages and Salaries Payable
 - B. Current Portion of Long-Term Debt
 - C. Income Tax Payable
 - D. Interest Payable

6. The Discount on Bonds Payable account is reported in the financial statements as:
 - A. A reduction from the Bond Payable account on the balance sheet
 - B. An expense on the income statement
 - C. An asset on the balance sheet
 - D. Revenue on the income statement
7. When bonds are retired at their maturity date, the balance in the Bonds Payable account is equal to the bond's:
 - A. Face value minus any premium amortized
 - B. Face value plus interest to be paid
 - C. Face value plus any discount amortized
 - D. Face value
8. Some bonds allow the issuing company to retire the bond with cash at any time. These bonds are known as:
 - A. Convertible bonds
 - B. Debenture bonds
 - C. Callable bonds
 - D. Coupon bonds
9. Which of the following statements about a corporation is not correct?
 - A. A corporation is a separate legal entity
 - B. A corporation has easy transferability of ownership
 - C. A corporation may have the ability to raise large amounts of capital
 - D. A corporation's owners have unlimited liability
10. Features of common stock usually include all of the following except:
 - A. Voting rights
 - B. Dividends
 - C. Primary claim to the company's assets in case of liquidation
 - D. Preemptive rights
11. Which of the following is an advantage of debt financing?
 - A. It does not have to be repaid
 - B. Interest is discretionary
 - C. Interest is tax deductible
 - D. It reduces stockholder control
12. All of the following are a part of contributed capital except:
 - A. Common Stock
 - B. Additional Paid-in Capital
 - C. Preferred Stock
 - D. Retained Earnings

13. When a company issues stock to the public for the first time, the issuance is called a(n):
- A. Initial public offering
 - B. First time issue
 - C. Seasoned new issue
 - D. Initial stock offering
14. What is the starting point for calculating cash flows from operations when the indirect method is used?
- A. Net income from the income statement
 - B. Calculate the net change in the cash account
 - C. Add the change in accounts receivable to sales revenue
 - D. Identify the balance sheet accounts that relate to operating activities
15. The difference between net income and cash flow may be due to all of the following except:
- A. Use of the direct method of presenting cash flows from operating activities
 - B. The company being brand new
 - C. Fraudulent financial reporting
 - D. Seasonal variations in a company's operating activities

Short Answer

1. Diaz Manufacturing began the year owing its suppliers \$4,800 for merchandise purchased last year. Diaz then sold half of this merchandise for \$8,000 on account. Two weeks later, Diaz paid its suppliers \$1,600 and bought another \$6,400 of merchandise on account.

What is the balance in Accounts Payable?	
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2. Santiago Co. signs a one-year, \$15,000, 6% note April 1, 2023, and repays the note on September 1, 2023.

How much interest expense is recorded in 2023?	
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3. On October 1, 2022, Boyle Corp. borrowed \$306,000 from the Brooklyn Bank on a 6-month, 6% note.

Assuming no interest has been recorded yet, what is the amount of accrued interest as of December 31, 2022?	
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4. On October 1, 2021, Linetti Company borrows \$360,000 on a three-year note that requires the company to pay 6% interest on March 31 and September 30.

On December 31, 2022, the adjusting entry to accrue interest would be for what amount?	
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5. On July 2, 2022, Holt Publishing, Inc. received a one-year subscription for \$100 to one of the magazines that it publishes. At that time, it debited cash for \$100 and credited Deferred Revenue for \$100. After all the magazines have been delivered through December 31, 2022, what journal entry needs to be recorded?

6. Hitchcock Co. is purchasing a new forklift to be used in its warehousing operations. Hitchcock borrowed \$120,000 from its bank in return for an installment note with 8% interest. Hitchcock will make 6 equal annual payments of \$25,958.

What is interest expense for the first period?	
What is interest expense for the second period?	

7. Scully, Inc. issues \$250,000 of 10-year, 10% bonds on January 1, 2023. Determine the amounts (bonds payable, unamortized premium or discount, and bonds payable, net) that will be reported on a balance sheet prepared as of the date of issuance of January 1, 2023 under each of the following assumptions:

	Bonds Payable	Discount/Premium	Bonds Payable, Net
The bonds are sold at 100			
The bonds are sold at 104			
The bonds are sold at 98			

8. A corporate charter specifies that the company may sell up to 20 million shares of stock. The company sells 12 million shares to investors and later buys back 3 million shares.

What is the number of authorized shares after these transactions are accounted for?	
What is the number of shares issued after these transactions are accounted for?	
What is the number of shares outstanding after these transactions are accounted for?	

9. Identify whether each of the following list of items is an operating activity cash flow (O), an investing activity cash flow (I), a financing activity cash flow (F), or none of these (None).

	Cash Flow Section
Proceeds from sale of equipment	
Cash collected from customers	
Payments to suppliers	
Stock repurchases	
Repayment of bond principal	
Payment of income tax	
Purchases of bonds from other companies	
Purchases of equipment financed with a note	
Interest and cash dividends received	
Payment of cash dividends	

Problem 1 (44 Points)

On January 1, 2023, Samberg Sales issues \$100,000 in bonds at 102. The bonds are five-year bonds with a stated rate of 4% and pay semiannual interest on June 30 and December 31. Samberg Sales uses the straight-line method to amortize bond discount. Prepare the following journal entries:

- Issuance of the bond on January 1, 2023
- First interest payment on June 30, 2023.
- Second interest payment on December 31, 2023
- Retirement of the bond on January 1, 2028

Date	General Journal	Debit	Credit

Problem 2 (56 Points)

On January 1, 2022, Crews Corporation balance sheet showed 40,000 shares of \$4 par value common stock outstanding that was previously issued at \$18 per share, and Retained Earnings with a balance of \$263,000. On January 15 Crews issued 5,000 shares of 5%, \$100 par value preferred stock for \$120 per share. On March 20, the company purchased 4,000 of its stock for \$16 per share. On July 8, the company reissued 2,000 of the shares at \$20 per share (Crews uses the cost method to account for its treasury stock). On August 3 Crews' Board of Directors declared a dividend of \$53,500 to be paid on September 3 to shareholders of record on August 18. Prepare the appropriate journal entries.

[illegible]

Problem 3 (54 Points)

Using the information from Problem 2, prepare the Stockholders' Equity section the balance sheet on December 31, 2022. Assume Net Income for the year was \$153,500.

Problem 4 (30 Points)

The management team of D. Judy Inc. is preparing its annual financial statements. The statements are complete except for the statement of cash flows. The completed comparative balance sheets and income statements are summarized.

	Current Year	Prior Year
Balance Sheet		
Assets		
Cash	\$50,000	\$72,000
Accounts Receivable	80,000	70,000
Merchandise Inventory	60,000	65,000
Property and Equipment	110,000	60,000
Less: Accumulated Depreciation	<u>(30,000)</u>	<u>(15,000)</u>
Total Assets	<u>\$270,000</u>	<u>\$252,000</u>
Liabilities:		
Accounts Payable	\$10,000	\$12,000
Salaries and Wages Payable	2,000	1,000
Notes Payable, Long-Term	50,000	60,000
Stockholders' Equity:		
Common Stock	100,000	80,000
Retained Earnings	<u>108,000</u>	<u>99,000</u>
Total Liabilities and Stockholders' Equity	<u>\$270,000</u>	<u>\$252,000</u>
Income Statement		
Sales	\$200,000	
Cost of Goods Sold	110,000	
Depreciation Expense	15,000	
Other Expenses	<u>50,000</u>	
Net Income	<u>\$25,000</u>	

Other information from the company's records includes the following:

- Bought equipment for cash, \$50,000.
- Issued new shares of common stock for \$20,000 cash.
- Accounts Payable arose from inventory purchases on credit.

What is the net cash flows from Operating Activities for the current year?	
What is the net cash flows from Investing Activities for the current year?	
What is the net cash flows from Financing Activities for the current year?	